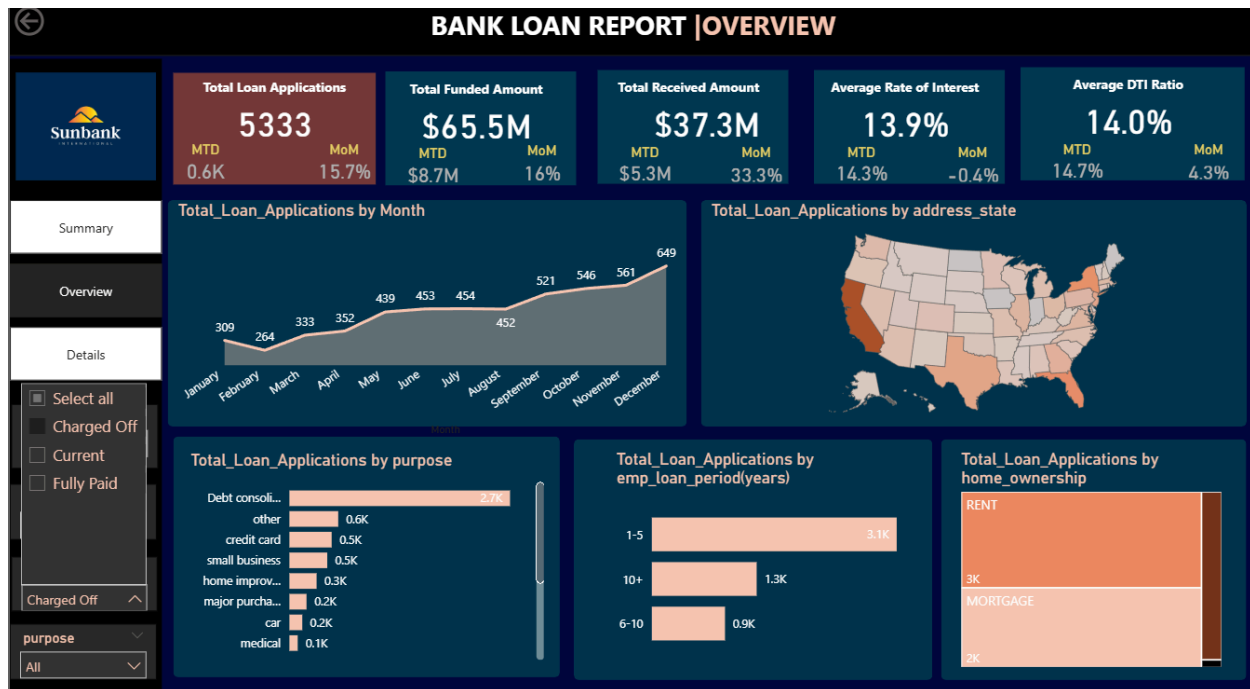


Why 13.8% of bad loans is not a good sign but a serious red flag?

Most big banks or NBFCs have 2-3% of bad loans but 13.8% is significantly high considering the fact that the loans issued are densely from urban areas(tier-1 or tier-2)

We need to dive further on what's causing these bad loans, maybe some region or a particular type of loan. Understanding the reason is of much importance since 13.8 is a very big number and indicates there is something wrong going on with the bank internally or externally



The upward Trend being continuous throughout the year indicates some kind of systematic risk taken within the institution or any external factor like recession or a pandemic like situation like the covid-19 pandemic. Out of the 5333 loans which ended up being charged off 3.1k which is roughly 60% of the total charged off loans seems to be of duration 1-5 years.

Now out of 18k loans which were for debt consolidation, 7.6k are for the period 1-5 years and from these 7.6k loan applications 1198 end up being charged off meaning 22% of the applications which are for the period 1-5 years and for debt consolidation purpose ended up being charged off.

1. Sustained Upward Trend = Structural Concern

- The continuous increase throughout the year suggests the issue is **not seasonal**.
- This could mean the lending institution is **not adjusting its credit risk models** quickly enough in response to macroeconomic changes.
- Possible external triggers: economic slowdown, interest rate hikes, inflationary pressure, unemployment spikes, or a post-pandemic credit bubble correction.

2. High Concentration of Risk in 1–5 Year Loans

- Loans of 1–5 years make up ~60% of all charged-off loans — that's disproportionately high.
- This could be due to **intermediate-term loans having higher EMIs**, increasing the risk of default when household budgets are tight.
- Alternatively, the institution's **screening process for mid-term loans may be less stringent** than for short-term or long-term loans.

3. Debt Consolidation Risk

- Debt consolidation is the single largest purpose category, making up ~18k loans.
- Of these, **1–5 year duration loans are 7.6k (~42%)** — indicating borrowers prefer mid-term repayment for consolidation, likely to balance EMI affordability and interest cost.
- The **22% charge-off rate** in this segment is alarming — nearly **1 in 5 borrowers defaulting** could point to:
 - Ineffective consolidation (borrowers taking on *new* debt alongside consolidated debt).
 - Borrowers in already distressed financial states using consolidation as a **last resort** rather than a strategic restructuring.

4. Implications for Portfolio Risk

- If this trend continues, the **net losses from debt consolidation loans** could become a major drag on portfolio profitability.
- The high default rate in this segment could **skew overall NPL (Non-Performing Loan) ratios**, making funding costs higher in the future.

5. Potential Hidden Correlations (worth investigating)

- Are 1–5 year debt consolidation borrowers more concentrated in specific geographies or industries?
- Are these defaults linked to certain borrower credit scores, income brackets, or employment types?
- Did most of these loans originate during a particular economic period (e.g., pre-recession optimism or post-pandemic recovery)?

6. Strategic Takeaways

- **Re-evaluate credit scoring models** for 1–5 year loans, especially in debt consolidation.
- Introduce **stricter eligibility and affordability checks** for consolidation loans.
- Consider **early intervention programs** for high-risk borrowers in months 3–9 of repayment to prevent delinquency from turning into charge-off.

The role of risk management Team in a financial institution is priceless and its importance cannot be undermined just for the sake of maximizing profits

The alarming trends uncovered in this analysis, the systematic rise in charge-offs and the acute vulnerability within the 1-5 year debt consolidation segment are not merely symptoms of an economic downturn. **They are a direct indictment of a failed or absent proactive risk management framework.** This case study serves as a powerful testament to the non-negotiable necessity of a robust, integrated, and forward-looking Risk Management team.

A financial institution without such a team is akin to a ship navigating a storm without a radar, charts, or a trained navigator. It may stay afloat in calm waters, but is destined to falter at the first sign of turbulence. The failures here are multifaceted:

The failure to balance profit with prudence:

The core mandate of the risk team is to act as the essential counterweight to the sales and revenue functions. **It is the risk team that ensures that in the pursuit of maximizing profits and net income, the institution does not blindly incur unacceptable levels of loss.** Their role is to rigorously evaluate the true risk-adjusted return of every loan, ensuring that growth is sustainable and not built on a foundation of future defaults. The patterns seen here suggest a culture that prioritized loan volume over loan quality, a clear sign that this critical balancing voice was absent or ignored.

The failure to anticipate:

A proper risk team would have continuously stress-tested the loan portfolio against potential macroeconomic shocks (recession, rising unemployment, inflation) and recalibrated lending models proactively, not reactively after the losses had already begun to mount.

The failure to protect:

The dangerous concentration of risk in 1-5 year loans, particularly for debt consolidation, would have been immediately flagged by any competent credit risk team. They would have enforced strict exposure limits for this high-risk segment, preventing the portfolio from becoming so heavily weighted toward a single point of failure. Their core mandate is to protect the institution's capital and profitability through strategic diversification.

The failure to pre-empt:

A 22% charge-off rate in a key segment indicates a catastrophic breakdown in underwriting and monitoring. A dedicated risk function would have implemented early-warning systems to identify borrowers showing signs of distress within the first few months. This allows for proactive intervention such as loan restructuring or payment plans to salvage loans and protect value, rather than passively writing them off.

In conclusion, the losses detailed herein are not just the cost of doing business; they are the direct cost of lacking a proper risk team. This function is not a bureaucratic cost center but a strategic profit center its value is measured in the millions of dollars of losses it prevents, the capital it preserves, and the long-term viability it ensures. **This case study unequivocally demonstrates that investing in a skilled risk team equipped with robust data, models, and authority is the most critical investment a lending institution can make to safeguard its future.**